SECTION A – CASE QUESTIONS **(TOTAL: 50 marks)**

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

CASE

Hosta Limited ("Hosta") is a private company incorporated in Hong Kong. Hosta was founded by brothers Ivan and Issac Cheung who have both an active interest in sport and fitness. The Cheung brothers opened the first Hosta Gym in 2007. Currently, Hosta operates several gyms with affordable approach to exercise and fitness training. The directors of Hosta have been eager to modernise its operations including how to manage its day-to-day business activities and enhance its online presence.

On 1 April 2019, Hosta acquired 85% of the ordinary share capital of Jamesia Limited ("Jamesia") from Katherine Lee who was the sole owner of Jamesia. Jamesia, a private company incorporated in Hong Kong, operates three high-quality studios offering private pilates classes.

Both Hosta and Jamesia (collectively known as the "Group") have a financial year end date of 31 March and apply Hong Kong Financial Reporting Standards in their preparation of financial statements. Companies in the Group measure its property, plant and equipment and intangible assets using the cost model in accordance with HKAS 16 *Property, Plant and Equipment* and HKAS 38 *Intangible Assets* respectively, and measure investment properties using the fair value model in accordance with HKAS 40 *Investment Property*.

Acquisition of shares of Jamesia

Hosta paid HK$32,260,000 to Katherine on 1 April 2019 to purchase 85% of the ordinary share capital of Jamesia. Jamesia has then become the only subsidiary in the Group. Jamesia had share capital of HK$20,000,000 and retained earnings of HK$16,000,000 with no other reserve on 1 April 2019. Hosta chose to measure the non-controlling interest in this acquisition at their proportionate share of fair value of net identifiable asset at the acquisition date. The fair value of the net identifiable assets of Jamesia was close to the book value at the acquisition date.

On 1 April 2021, Katherine transferred the remaining 15% of the ordinary share capital of Jamesia to Hosta. Hosta paid HK$6,000,000 to Katherine for this further acquisition of Jamesia's shares.

Transaction between Hosta and Jamesia

On 1 April 2021, Hosta acquired a property in Wan Chai ("Unit WC") at a cost of HK$40,000,000 and incurred considerable transaction costs including stamp duty in such acquisition. Hosta assessed that Unit WC has a useful life of 40 years with no residual value. Since Jamesia would like to open a new studio, Hosta entered into a two-year lease agreement of Unit WC with Jamesia and Unit WC was made available for use by Jamesia on 1 April 2021. Jamesia paid HK$1,180,000 on 1 April 2021 covering all the rental payments during the two-year lease term. This transaction constituted a lease under HKFRS 16 *Leases* and Hosta assessed that this transaction qualified as an operating lease in its financial statements. Unit WC had a fair value of HK$39,500,000 as at 31 March 2022.

Information technology ("IT") initiatives

The extracts below were the discussions among Hosta's directors on 15 May 2022:

Issac Cheung (Chairman):	We purchased licences to various software to manage our day-to-day business activities. Many companies are now moving to cloud-based operations for their enterprise resources planning ("ERP"). They deliver IT services through web-based applications rather than a direct connection to a server owned by the companies.
Eddie So (Operations Director):	That's true. Cloud computing arrangements lower our cost of information management. It simply looks like "leasing" the software in the vendor's cloud infrastructure. I wonder if we should *treat these arrangements as lease transactions*.
Mandy Poon (Sales and Marketing Director):	I have a different view. Though it appears that we will operate differently after moving to the cloud, Hosta can still use the software as usual, right? Let's stick to our current accounting treatment for *purchasing software licences*. By the way, we agreed to develop a website for Hosta to increase our online presence. My team proposes to include content such as our mission, our trainers' background and some tips relating to health and fitness. I believe the *development cost of this website can be capitalised as an intangible asset* on our statement of financial position.
Ivan Cheung (Finance Director):	It is too early to evaluate the accounting impacts of the above IT initiatives. We need to see how the cloud computing arrangements and the website is to be structured.

On 31 May 2022, Hosta signed an agreement with Kerria Limited ("Kerria"), a cloud-based applications vendor, and subscribed to its cloud-based ERP applications for two years ("Subscription Period"). During the Subscription Period, Kerria decided how and when to update or configure the applications and, as a result, Hosta is neither allowed to take possession of the ERP software used in this arrangement nor to run such software on its own computer infrastructure. The ERP software is not a customised software and a lot of the fitness centres are using similar software to manage its business activities. On top of the subscription fees payable to Kerria, Hosta incurred the following costs:

	HK$
Cost to select vendors, paid to an external IT consultant	30,000
Cost to migrate the existing data and test the cloud computing arrangement is functioning properly, paid to an external IT consultant	60,000

In June 2022, the development of Hosta's website was completed. Currently, customers are neither able to register for fitness classes nor subscribe to membership of Hosta's gyms through the website. Hosta incurred the following costs relating to its website:

	HK$
Cost to register its domain name	50,000
Cost to design the appearance of the web pages and to develop content for the website	250,000

Financial and operational information of Hosta and Jamesia

Hosta	31 March 2020	31 March 2021	31 March 2022
Total assets (HK$'000)	277,000	269,000	297,080
Total liabilities (HK$'000)	97,400	90,100	102,880
Total equities (HK$'000)			
Share capital	50,000	50,000	50,000
Retained earnings	129,600	128,900	144,200
	179,600	178,900	194,200
Total revenue (HK$'000)	123,000	52,000	85,000
Profit/(loss) for the year (HK$'000)	24,600	(700)	15,300
Average number of employees	79	72	82

Jamesia	31 March 2020	31 March 2021	31 March 2022
Total assets (HK$'000)	82,000	87,050	92,450
Total liabilities (HK$'000)	39,000	42,000	37,000
Total equities (HK$'000)			
Share capital	20,000	20,000	20,000
Retained earnings	23,000	25,050	35,450
	43,000	45,050	55,450
Total revenue (HK$'000)	41,000	20,500	52,000
Profit for the year (HK$'000)	7,000	2,050	10,400
Average number of employees	32	30	35

<u>Question 1</u> **(17 marks – approximately 31 minutes)**

You are Kay Ng, the Accounting Manager of Hosta. The directors would like an update on the accounting impacts arising from the IT initiatives. Ivan Cheung, the Finance Director, asked for your assistance so that he can update the other board members.

<u>Required:</u>

Prepare a report for Ivan advising on how the following costs should be accounted for in the financial statements of Hosta:

(a) the implementation costs of the cloud computing arrangement, including the subscription fees payable to Kerria. You are advised to evaluate whether the cloud computing arrangement contains a lease and includes an intangible asset.

(10 marks)

(b) the costs relating to the development of Hosta's website.

(7 marks)

You should explain each of the key issue, with reference to applicable financial reporting standard(s), based on the discussions among the board members in May 2022.

Note: A maximum of 2 marks for communication skill and 2 marks for analytical skill will be awarded.

<u>Question 2</u> **(24 marks – approximately 43 minutes)**

(a) Prepare the journal entries and consolidation adjustment journal entries (if any) relating to Unit WC leased by Hosta to Jamesia:

(i) in the separate financial statements of Hosta; **(5 marks)**

(ii) in the financial statements of Jamesia; and **(3 marks)**

(iii) in the consolidated financial statements of the Group **(5 marks)**

for the year ended 31 March 2022. No narrative is required.

Note 1: You are advised to consider the classification of the property, the initial and subsequent measurement of Unit WC in the appropriate financial statements.

Note 2: For simplicity, you are NOT required to: (i) discuss the transaction costs in the acquisition of Unit WC; and (ii) apportion the purchase price of Unit WC to land and building upon acquisition.

(b) Analyse the accounting impacts arising from the further acquisition of Jamesia's ordinary shares in the consolidated financial statements of the Group for the year ended 31 March 2022.

(4 marks)

(c) Prepare the consolidated statement of changes in equity for the Group for the year ended 31 March 2022.

(7 marks)

Note: You must show supporting calculations in this part.

Question 3 **(9 marks – approximately 16 minutes)**

One of the directors made the following comment:

"I heard that some companies are eligible for reporting using a simplified framework under the Small and Medium-sized Entity Financial Reporting Framework (SME-FRF) in preparing their financial statements."

Required:

Explain, with reference to the size tests in the Hong Kong Companies Ordinance, whether:

- **the financial statements of Hosta;**
- **the financial statements of Jamesia; and**
- **the consolidated financial statements of the Group**

can be prepared under the SME-FRF for the year ended 31 March 2022, assuming the relevant shareholders' approval (if needed) is obtained.

(9 marks)

Note: You are not required to include the discussions relating to shareholders' approval.

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (TOTAL: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

Question 4 (15 marks – approximately 27 minutes)

Kaboom Limited ("KL") is a start up in the business of manufacturing and trading of fast fashion garments - focusing on rapidly producing high volumes of trendy clothing at low cost. It has a financial year end date of 31 December.

Ken To is the Finance Manager at KL.

Inventories

KL had been using First-in-first-out ("FIFO") in measuring its inventory since the company began its business. Ken is taking the opportunity to review the company's business to propose a change to use weighted average cost formula as this provides more relevant information and better reflect the cost of goods sold. Ken is also thinking of using standard cost method for the foreseeable future to measure the cost of inventory for convenience in estimation.

Machineries

KL has been using straight-line method to depreciate its machineries. During the year, Ken revisited the pattern of utilization of KL's manufacturing facilities and compared that with the fluctuations in maintenance costs. He decided to propose a change in KL's depreciation method and suggested one that is based on revenue so as to better reflect the economic reality of consumption as he observed that the higher the production the higher maintenance costs were incurred.

Current tax

In November 2021, KL received a notice of assessment from the Inland Revenue Department ("IRD") in respect of the profit for the year ended 31 December 2020. Compared to what is reported in the tax return KL is being charged an additional HK$ 5 million as the IRD considered KL should be taxed on the gains on disposal of an investment that appeared to them trading in nature. The amount under dispute was material to KL.

Ken believes all of the above should be accounted for as a change in accounting estimates in the financial year ended 31 December 2021 because they arise from a change in assessment of the present status of, and expected future benefits and obligations associated with, assets and liabilities. Accordingly, no retrospective restatement would be required.

Required:

Advise and explain whether you agree with Ken's proposals for each of the above scenario.
(15 marks)

Question 5 (20 marks – approximately 36 minutes)

X Group Limited ("XGL") and its subsidiaries (collectively the "Group") operate in the design, manufacturing and trading of mobile phones across the world. XGL has a financial year end date of 31 March.

In July 2019 the Group acquired a property in mainland China near the coast. The compound serves as the Group's headquarters that brings together the design, manufacturing and warehousing capabilities of the Group in one place. The purchase was made through Incredibly Prosperous Limited ("IPL"), a significant wholly-owned subsidiary of XGL that operates in the Mainland. Management determines that the property should have a useful life of 50 years. The Group applies the cost model to its property, plant and equipment.

To finance the purchase XGL borrowed from the bank HK$ 60 million that bears interests at 4% with a term of 5 years and lent this loan to IPL in form of HK$ intercompany interest-free loan with no fixed term of repayment. Given it is meant for strategic investment XGL does not expect to demand settlement by IPL any time soon; and XGL will be using funds from its other operations to repay the bank loan when it becomes due.

The following sets out the presentation currency and functional currency of the relevant reporting entities:

	Presentation currency	**Functional currency**
XGL – company level	HK$	HK$
IPL – company level	RMB	RMB
XGL – consolidated level	HK$	N/A

Management of XGL believes that all exchange differences arising from the translation of the intercompany loan between XGL and IPL would be eliminated on consolidation as it is denominated in HK$.

During 2021 there were unprecedented severe rainstorms as a result of climate change. Given the property was close to the waters it was seriously flooded especially in the warehouse area where IPL stores its products.

Required:

(a) Advise and explain, on 31 March 2022, the accounting treatment on translating the intercompany loan between XGL and IPL in:

(i) company level financial statements of IPL;

(ii) company level financial statements of XGL; and

(iii) consolidated financial statements of XGL. Advise and explain also whether you agree with management's view that the exchange differences arising from the translation of the intercompany loan would be eliminated on consolidation.

(12 marks)

(b) Advise the impacts on financial statements items that the Group has to consider as a result of climate change.

(8 marks)

Question 6 **(14 marks – approximately 27 minutes)**

Tasty Group Limited ("TGL") is one of the largest restaurants and catering services companies in Hong Kong. It has a financial year end date of 31 March. Teddy Lai is the Finance Manager of TGL.

In 2018, TGL issued a HK$ 100 million bond through private placement for a term of 7 years bearing interest at 6% per annum.

The results for the year ended 31 March 2022 indicated that the company breached a covenant attached to the HK$ 100 million bond, causing it to become repayable on demand. This was not detected until the financial statements were tidied up for audit in April 2022.

In May 2022 TGL arranged for modification of the terms of the bond by extending the repayment terms for 5 years, plus an adjustment to the interest repayable to the holders. Fees to lawyers were incurred as a result. The financial statements were authorised for issue on 30 May 2022.

Teddy considered that there is no need for TGL to adjust or disclose in its financial statements for the year ended 31 March 2022 as a result of the breach because the modification of terms was completed before the financial statements were authorised for issue. He also believed that upon the modification of the terms TGL would just need to charge the transaction cost to profit or loss and continue to account for the bond at the revised interest rate without needing to derecognise the original bond.

Required:

Analyse and advise whether you agree with Teddy's comments in respect of the accounting treatment of the following items:

(a) **the bond for the year ended 31 March 2022;**

(b) **the bond and transaction costs upon modification of the terms in May 2022 for the year ending 31 March 2023.**

(15 marks)

* * * END OF EXAMINATION PAPER * * *